

Coffee Break



Coffee Break is our daily publication, offering topical insights as an intellectual ingot to start the day.

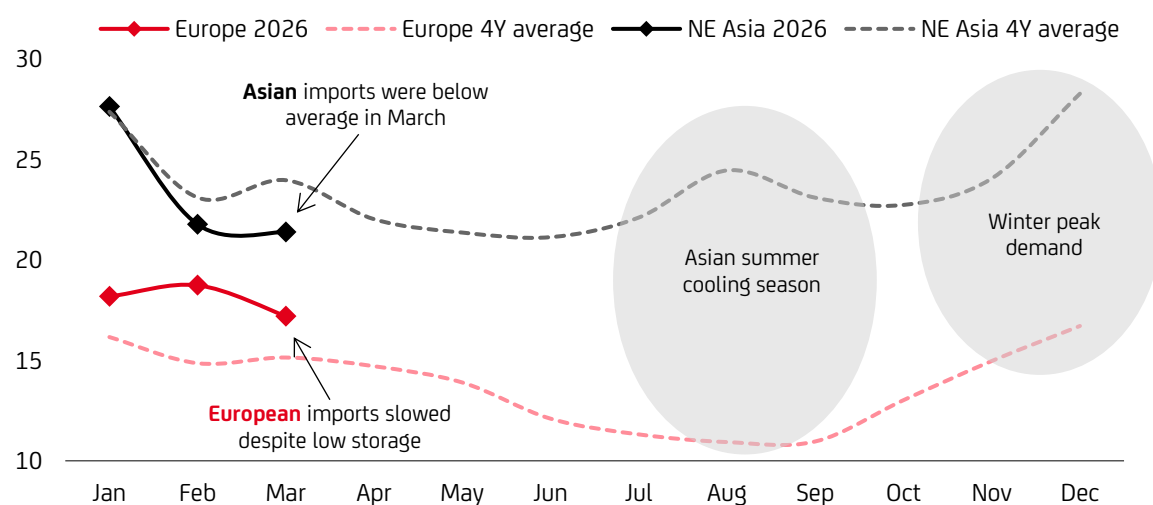
Natural gas: demand drops and prices slide as Hormuz standoff persists

23 April 2026

While a decline in the TTF gas price is welcome news, the summer restocking season will be tense, even if hostilities in the Middle East ease.

LNG DEMAND CAME UNDER PRESSURE IN MARCH AS SEASONAL CHALLENGES LOOM

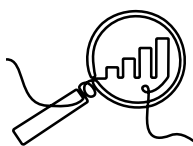
LNG IMPORTS IN BCM



Source: LSEG, The Investment Institute by UniCredit

THE CONTEXT

The war in Iran has further complicated an already challenging outlook for European summer gas restocking in the months ahead. When the unofficial restocking season began on 1 April, Europe's gas storage was 28% full, compared to 34% at the same point in 2025, which was also well below levels seen in previous years. Despite this difficult backdrop, the European benchmark natural gas price (TTF) has been quite restrained. While at EUR 44/MWh, it is 36% above where it was before the war in Iran began, when converted into similar units and currency, it is currently 15% below the comparable Brent price. While at first glance this would appear to be supportive for the European restocking season, some clear challenges remain on the horizon that will keep the market on edge, regardless of what direction the Iran war takes.



THE DATA

We think that the main driver for the relatively low TTF price can be traced back to weak demand at the start of the year. In the first quarter, Northeast Asia (including China) imported 5% less LNG than the average over the previous four years, a decline of 3.7bcm. Europe got off to a strong start this year by importing 8bcm more than it had on average in the prior four years, due to cold winter conditions and in anticipation of the major restocking need. However, this momentum was broken in March and imports fell by 1.5bcm relative to February (even though monthly data tend to be volatile). There appear to be several reasons for this decline in demand at the start of the year. Chinese imports were soft in January and February due to warmer temperatures and high spot prices, while increasing domestic gas production and Russian pipeline supplies also restrained LNG demand. When the conflict in Iran escalated in March, both Asian and European buyers reduced imports as volatile prices and plunging exports from the Middle East created unfavourable market dynamics.

Since around 80% of Qatar's LNG exports go to Asian markets, buyers there have been forced to acquire more LNG on the spot market at elevated prices. Higher prices and lower supply from the Middle East have led to LNG demand destruction, by incentivising gas-to-coal switching and increased investment in renewables, as LNG's reputation as a reliable energy source has come increasingly into question. In the weeks following the outbreak of the conflict involving Iran, spot LNG demand softened as buyers turned cautious, helping to contain the TTF price.

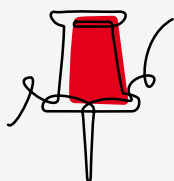


OUR VIEW

We believe that the relatively benign TTF price is likely to face upside pressure in the coming months. Europe needs to import around 54bcm to replenish its gas stocks before the 2026-27 winter heating season begins. While this had previously looked feasible in light of an estimated 45bcm in new LNG capacity that was expected to come online in 2026, this supply-growth forecast is being continually revised downward. Not only is Qatar's planned expansion unlikely to materialise in 2026, the blockade of the Strait of Hormuz also removes around 8bcm monthly from global supply and approximately 17% of Qatar's capacity will reportedly be offline for several years due to war damage.

While Asian buyers have curtailed their LNG purchases, the forthcoming summer cooling season in Asia could boost demand if temperatures rise above average levels. The prospect of El Niño weather conditions this summer could trigger increased buying of spot LNG volumes, leading to increased competition between Asian and European buyers for available volumes. Sustained, high market volatility further complicates the picture, as the typical seasonal spread metrics do not offer the same information that they would in a calmer market environment.

The current spread is unfavourable for buyers as winter gas contracts are currently priced lower than summer contracts, which discourages restocking. However, instead of reflecting expected supply and demand developments, these prices also factor in expectations about the development of the war in Iran, which injects more uncertainty into buyers' business planning. We therefore expect the TTF price to remain volatile with ongoing upward pressure as the winter restocking season enters its crucial phase in the coming months.



OTHER THINGS TO NOTE

Today's PMI indicators to shed light on the health of the eurozone economy

We expect the euro area composite PMI to decline to 50.0 in April (from 50.7), indicating broadly stagnant economic activity at the start of the second quarter.

Stalled US-Iran talks impact FX markets; soft eurozone PMIs may drag EUR-USD lower

As feared, stalled US-Iran talks are gradually disappointing markets. As a result, Brent crude is back above USD 100/bbl and the US dollar index DXY is heading towards the 99 level. Consequently, EUR-USD is progressively moving lower, now on the edge of 1.17 after hitting a low of 1.1693 earlier this morning. We suggest paying greater attention to the 1.1690-1.1660 area where there are different moving averages on charts, with soft PMIs across the eurozone this morning potentially leading to further selling of the euro. EUR-USD would need to recover at least above 1.1750 to stem the selling pressure. (R. Mialich)

TODAY'S DATA RELEASES

Time (CET)	Country	Data	Period	UniCredit	Consensus	Previous
10:00	EZ	Manufacturing PMI (index)	Apr	51.0	50.9	51.6
10:00	EZ	Services PMI (index)	Apr	49.5	49.8	50.2
10:00	EZ	Composite PMI (index)	Apr	50.0	50.1	50.7

Source: Bloomberg, The Investment Institute by UniCredit

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